Banking industry consolidation was far from certain to continue unabated. Also, legal risks facing the company seemed likely to be resolved without significant impairment.

Investors must always remember that a spreadsheet, no matter how good, is not business reality. The numbers laid out in a spreadsheet tell a precise story, but sometimes it's not the right story. For example, overemphasis of the quantitative can lead to missing the qualitative, and vice versa. In the end, assessing both can be very valuable. Because finding simplicity can be complicated, I break down my process into three buckets—find a good business, with good management, at a good valuation. You don't need or expect to find all three of these to the same degree in every investment; there can be a sliding scale with puts and takes. Nonetheless, all three must be present. Think of it as a multiplicative series where a zero in any of the cells will yield a zero overall regardless of how high the other elements may rate.

KEEPING IT SIMPLE PRINCIPLE 1: FINDING A GOOD BUSINESS

The question I'm asked most often is what exactly constitutes a good business? The short answer begins with having a competitive advantage, or what Warren Buffett calls a "moat." The wider the moat the better. Add on characteristics like low capital intensity, pricing power, recurring revenues, staying power, and the likelihood of long-term growth, and you have a great business. In determining if a business is great, I like to start on the quantitative side: I focus on the balance sheet, accounting practices, and unit economics, and then turn to cash flow generation. Meanwhile, the qualitative side involves reference calls to assess the quality of management and channel checks to reveal how a company's products are selling in real time.